

CMHC Mortgage Insurance Calculator

Canada · CAD

Personal Financial Scenario Report

fincalcsmart.com/cmhc-mortgage-insurance-calculator

EXECUTIVE SUMMARY

No Insurance Required (20%+ Down)

CA\$650,000	CA\$130,000 (20.0%)	N/A	CA\$520,000	Insurance Required (20%+ Down)
Purchase Price	Down Payment	CMHC Premium	Total Mortgage	Status

DOWN PAYMENT VS PURCHASE PRICE



Total projected: CA\$650,000
Down Payment: CA\$130,000 (20.0%) Financed: CA\$520,000 (80.0%)

CMHC MORTGAGE INSURANCE SUMMARY

No CMHC mortgage insurance required. Down payment of CA\$130,000 (20.0%) meets or exceeds the 20% threshold on a CA\$650,000 purchase. Conventional financing applies.

At 20%+ down payment, no CMHC premium applies. Savings vs a 5% down scenario: CMHC premium that would have applied = approximately CA\$20,800 (4% on a 5% down mortgage).

CMHC mortgage insurance protects the lender (not the borrower) against default risk. It enables borrowers to purchase with as little as 5% down, with the premium financed into the mortgage. The premium does not reduce your purchase protection or legal rights. First-time buyers may access the 30-year amortization option (confirmed first-time buyer or new build required). PST on the premium applies in some provinces and is paid separately at closing. This calculation covers only the CMHC premium -- land transfer tax, legal fees, home inspection, and title insurance are additional closing costs not modeled here.

INPUTS & ASSUMPTIONS

Purchase Price	CA\$650,000
Down Payment	CA\$130,000 (20.0%)
Amortization	25 years
First-Time Buyer	No
New Build	No
Region	Canada

DETAILED RESULTS

Eligibility Status	No Insurance Required (20%+ Down)
Minimum Down Payment	CA\$27,500
Down Payment Gap	None
Base Mortgage	CA\$520,000

KEY DRIVERS / POSSIBLE ADJUSTMENTS

- With 20%+ down, no CMHC premium applies -- saving the premium (typically 2.80-4.00% of the base mortgage) reduces total mortgage cost.
- Conventional financing (20%+ down) may qualify for slightly different lender rates and does not require CMHC approval for the lender's underwriting process.
- A larger down payment also reduces the total interest paid over the amortization by starting with a lower principal balance.

METHODOLOGY

What this calculator models:

- CMHC eligibility: purchase price must be below \$1,500,000 and down payment must meet the sliding minimum (5% on first \$500K + 10% on remainder up to \$1.5M).
- CMHC premium rate tiers (applied to base mortgage = purchase price - down payment): 5-9.99% down = 4.00%; 10-14.99% down = 3.10%; 15-19.99% down = 2.80%. 20%+ down = no premium.
- 30-year amortization is available for CMHC-insured mortgages only when the borrower is a first-time homebuyer or purchasing a new build, per CMHC guidelines.
- Total insured mortgage = base mortgage + CMHC premium. The premium is added to the principal and amortized over the loan term.

What this calculator does not model:

- PST on CMHC premium (applies in Ontario, Manitoba, and Quebec -- paid separately at closing, not financed).
- Monthly mortgage payment (P+I) -- use the mortgage calculator with the total insured mortgage as the principal.
- CMHC First Home Buyer Incentive or any government shared-equity programs.
- Lender-specific rate differences between insured and conventional mortgages.
- Land transfer tax, legal fees, home inspection, title insurance, or other closing costs.
- Mortgage insurance from Sagen or Canada Guaranty (alternative CMHC-equivalent insurers).

EDUCATIONAL DISCLAIMER

This report is for educational and illustrative purposes only. CMHC premium rates, eligibility rules, and amortization limits are based on guidelines in effect at the time this calculator was built and may be subject to change. This does not constitute mortgage advice, CMHC approval, or lender pre-approval. Consult a licensed mortgage professional or broker for a formal mortgage assessment and current CMHC premium rates.